

TITLE: Procurement Standard Operating Procedure

ORGANIZATION: Northwind Analytics, Inc.

DEPARTMENT: Finance

SENSITIVITY: Internal

VERSION: 1.1

EFFECTIVE_DATE: 2025-07-01

Procurement Standard Operating Procedure

1. Purchase Order Thresholds

Threshold	Approval Required
Under \$1,000	Manager approval only, direct purchase
\$1,000 – \$10,000	Manager + Department Head approval, PO required
\$10,000 – \$50,000	Above + Finance approval, 2 competitive quotes required
Over \$50,000	Above + CFO approval, formal RFP process, 3 competitive bids minimum

2. Vendor Onboarding

New vendors must complete a W-9 (or equivalent), pass a basic vendor risk screening, and be entered into the vendor master file before any PO is issued. Onboarding typically takes 3-5 business days.

3. Invoice Matching

All invoices are matched against the PO and goods-receipt confirmation (3-way match) before payment is released. Mismatches are routed to the requester for resolution.

4. Payment Terms

Standard payment terms are Net 30. Net 15 or shorter requires Finance Director approval and is generally reserved for strategic vendors.

5. Contact

procurement@company.com